

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 17-04 REGULATORY REFORM INITIATIVE

**REGULATORY REFORM INITIATIVE
COMMENTS OF INTERNATIONAL LOGISTICS, INC.**

Following is the response from International Logistics, Inc. (FMC # 04128NF) to the FMC request for comments on the regulatory reform initiative.

In 2016, International Logistics received 2 letters of inquiry from the Bureau of Enforcement relating to regulated activities which are subject to the Federal Maritime Commission rules and Shipping act of 1984. Both were initiated without any complaint from the shipping public. As far as we can find out, it was simply two random enforcement checks that happened 5 months apart.

While ILI was able to respond to both inquiries, there was a considerable cost in time to prepare our response just to prove that we are operating in compliance with current regulations. The main issues that were being investigated were details such as whether or not our forms included the required disclaimers and our FMC license number was listed on our letterhead as well as complying with rules of issuance of rate quotes.

While we understand the need for compliance we feel that the regulatory system should ensure compliance when a company is issued a license and then when a complaint is filed rather than at random. Random checks can result in undue burdens on companies that are compliant.

Using the same logic, it stands to reason that if there are no complaints filed, there are no problems within the industry. This is our reasoning for requesting that the requirement that NVOCCs produce tariff filings, Negotiated Rate Arrangements (NRA) and Negotiated Service Arrangements (NSA) for NVOCCs should be eliminated. The requirement that these rate instruments be used and maintained (and also verified by government) is unnecessary as illustrated by the lack of inquiries or complaints brought against NVOCCs from the shipping public. In the past 9 years (since we obtained our NVOCC license) we have had no requests to review our tariff. These serve no valuable purpose for shippers and to cost NVOCCs and government time and money.

As evidence that rate filings are unnecessary, one only need look at the international air cargo industry where these regulations do not exist. There is virtually no operational difference between international air cargo and ocean cargo aside from the means of conveyance yet the ocean industry retains the unnecessary rate filings while the air cargo industry does not. and it is clear that no such requirement is needed.

Commercial disputes which seldom arise, can be resolved without rate filings so the requirement to file tariffs is a needless burden that is costly to businesses and provides no value to shippers.

It is our request that the burden of rate tariff filings be removed from NVOCCs.

Additionally, we find that the regulations which relate to the availability of rates to parties not on a contract are unclear and provide no value. We believe that any licensed OTI should be able to contract to buy and sell their service from any other non-sanctioned party offering rates. We feel the industry should allow any number of licensed or registered intermediaries to be involved in reselling services. The market would operate to ensure that only competitive rates would be used and would minimize how many times a service would be resold.

One example of unnecessary regulation is that Currently when a foreign OTI contracts ocean freight to the USA, they are required to have a licensed USA agent. This U.S. agent must provide the USA customer with a rate quote on behalf of the foreign NVOCC instead of being able to offer the rate under their own company letterhead.

U.S. NVOCCs should be able to work with any non-sanctioned foreign party to provide transportation services and should be able to quote their U.S. import customers based on their own arrangements as a licensed U.S. NVOCC or freight forwarder.

There is no need to protect rates between various parties by US regulation. Contract law and the terms of a contract should determine who has access to the rates or whether they are restricted. However, we feel rates for equal services should not be restricted from resale.

We request that licensed U.S. OTIs be allowed to provide their customers with rate quotes without acting on behalf of the foreign OTI who arranged the shipment (the contract holder) so that the market could be more agile and allow for U.S. OTIs to work with any party they choose without having to produce rates on behalf of that foreign contract holder using the foreign OTI's letterhead (acting as agent instead of as the principal)

The ocean cargo industry commonly works as a network of independent agents cooperating to route shipments between their respective countries rather than large companies with multiple offices worldwide routing cargo between their own offices. Current regulations make the industry practice of independent agent cooperation more difficult than large intra-company shippers.

We request this disadvantage be remedied by allowing independent agents to quote their own rates based on the rates quoted to them (wholesale) by their independent foreign partner agents.

Thank you for your consideration of our comments about how the ocean cargo industry could be improved to be made more efficient and less burdened by over-regulation. We believe these changes would also reduce the burden on the FMC which currently spends time verifying compliance with regulations that have no value for either the shipping public or the industry.

Bruce Louthan
General Manager
International Logistics, Inc
10001 S. 152nd St
Omaha, NE 68138
FMC OTI: 04128NF